

Net Trade Cycle

It is important to determine the time a company takes to realise its sales proceeds after paying for the purchase of its raw materials. This is a very useful tool for determining a company's liquidity and is computed by adding the debtors turnover in days to the stock turnover in days, and deducting from it the creditors turnover in days.

$$\text{Debtors turnover} = \frac{\text{Average debtors}}{\text{Sales}} \times 365$$

$$\text{Stock turnover} = \frac{\text{Average stocks}}{\text{Sales}} \times 365$$

$$\text{Creditors turnover} = \frac{\text{Average creditors}}{\text{Sales}} \times 365$$

$$\text{Net trade cycle} = \text{Debtors turnover} + \text{Stock turnover} \\ - \text{Creditors turnover}$$

If this ratio improves, it indicates an improvement in the management of net current working assets. Of course, it can also indicate that the company is experiencing difficulty in paying its creditors. Thus one must go beyond the figures to determine the reasons for a change in the net trade cycle. It must be remembered that the longer the cycle, the greater the need for financing. The net trade cycle should therefore be brought down as much as possible. This can be achieved by reducing debtors and stock levels.

Illustrations

Vindhya Bearings Ltd's financials included the following figures:

	Previous Year	Latest Year
	<i>Rs. (crore)</i>	<i>Rs. (crore)</i>
Sales	200	280
Cost of goods sold	160	224
Debtors	24	44
Stocks	36	
	48	